May 29, 2026

The Honorable Carl Heastie
Speaker
New York State Assembly
LOB 932
Albany, NY 12248

The Honorable Crystal Peoples-Stokes
Majority Leader
New York State Assembly
LOB 926
Albany, NY 12248

RE: Ad Trade Letter in Opposition to New York S8623B and A9349B

Dear Speaker Heastie and Majority Leader Peoples-Stokes:

On behalf of the advertising industry, we respectfully oppose New York S8623B and A9349B (collectively, the "Bills") in their current form, and we provide this letter to express our non-exhaustive list of concerns about this legislation.[1] We and the companies we represent, many of whom do substantial business in New York, strongly believe consumers deserve meaningful protections supported by reasonable laws and industry policies. However, we are concerned that S8623B and A9349B are drafted in a way that could be interpreted to apply to business-to-business contexts rather than applying only to business-to-consumer transactions. Before advancing the bills further in the legislative process, we ask that you clarify that they apply solely to business-to-consumer contexts, do not create a private right of action, and eliminate the rulemaking authority included in the legislation.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.[2] By one estimate, approximately 16.8% of New York jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 18.4% by 2029.[3] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to advertising. We would welcome the opportunity to engage with you further on the points we discuss in this letter.

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[1] New York S8623B (2025-2026 Leg. Sess.), located here; New York A9349B (2025-2026 Leg. Sess.), located here (hereinafter, "Bills").
[2] S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.
[3] *Id.* at 15-16.

I. The legislature should clarify that the Bills apply only to consumer-facing pricing practices.

While the Bills appear intended to regulate pricing for consumer-facing transactions involving natural persons, several provisions create ambiguity regarding their scope. For example, the definition of "surveillance pricing" refers to pricing "set completely or in part by an algorithm that uses personal data to offer different prices to different *customers*," yet the term "customer" is undefined.[4] Because the Bills use "customer" rather than "consumer," the provision could be interpreted to reach business customers and other commercial relationships beyond the traditional business-to-consumer context. Similarly, the definition of "consumer" includes purchases made "from an entity domiciled in New York State," language that could be construed to extend the Bills' application into business-to-business commercial activity.[5] Taken together, these provisions create uncertainty for industries that rely on audience, market, or other personal data from third-parties to support legitimate business-to-business advertising and pricing practices. To better align the legislation with its consumer protection purpose and avoid unintended consequences for beneficial commercial activity, we respectfully ask that "customer" be replaced with "consumer" in the definition of "surveillance pricing" and that the phrase "or from an entity domiciled in New York State" be removed from the definition of "consumer."

II. The legislature should remove the broad and undefined grant of rulemaking authority in the Bills.

As drafted, the Bills would authorize the New York Attorney General ("NY AG") to promulgate regulations implementing their terms without any meaningful limits on the scope of that authority or specificity regarding the issues that may be addressed through rulemaking.[6] Given the breadth of several provisions in the Bills, this open-ended delegation could create significant uncertainty for businesses and result in requirements that extend beyond the legislature's original intent. It could also lead to evolving compliance obligations established through future regulatory interpretations rather than through clear standards enacted by the legislature itself. The Bills should therefore be revised to remove the rulemaking authority and instead rely on statutory language enacted through the legislative process.

III. The legislature should clarify that the Bills do not provide for a private right of action.

The Bills' enforcement provisions do not clearly state that they would not provide for a private right of action.[7] The Bills should be updated to clarify that they do not create a private right of action under any law. Instead, enforcement should be vested with the NY AG alone. Such an enforcement structure would lead to stronger outcomes for New York residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to

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[4] Bills at Sec. 1, § 349-a.1(f) (emphasis added).
[5] *Id.* at Sec. 1, § 349-a.1(c).
[6] *Id.* at Sec. 1, § 349-a.5.
[7] *Id.* at Sec. 1, § 349-a.4.

facilitate compliance with the Bills' requirements. Attorney General enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

A private right of action would create a complex and flawed compliance system without tangible benefits for consumers. In addition, allowing private actions will flood New York's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.[8] Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on New York's economy by creating the threat of steep and unforeseeable costs for advertisers that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions do not effectively address consumer protection concerns or deter undesired business conduct. They expose businesses, including the small businesses who rely on the Internet to reach consumers, to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.[9]

Beyond the staggering cost to New York businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the legislature to clarify that the Bills do not provide for a private right of action and clearly vest enforcement authority with the NY AG alone.

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[8] A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located here.

[9] For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located here. Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Policy
American Association of Advertising Agencies, 4As
202-355-4564

Clark Rector
Executive VP–Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Members of the New York Senate and Assembly